

The Board Should Benchmark Itself

Finally, decisions at the board level should be measured and benchmarked, just as the performance of the manager is measured and benchmarked. This is not often done, but boards need to measure themselves.

5. Agency Issues as a Factor

Since agency issues are pervasive, it is not surprising that agency issues affect prices.⁴³ Agency contracting issues, especially those affecting large institutions, give rise to short-term persistence, long-term reversals, momentum effects, and other patterns in risk premiums.⁴⁴

An obvious effect is that *herding* arises when managers all follow the same benchmark. Herding can also arise from career or reputational concerns, even when managers have different contracts.⁴⁵ When many managers want to buy or sell the same stocks at the same time, prices are affected. A large literature, beginning with Harris and Gurel (1986) and Shleifer (1986), documents index reconstitution effects.⁴⁶ When a stock moves into an index such as the S&P 500, the price of that stock jumps as many investors, both index and active managers benchmarked to the S&P 500, buy on the same day. After inclusion, the newly added stock has higher correlations with the S&P 500 than before inclusions. The opposite effects occur when stocks are removed from the S&P 500. The literature estimates price effects of 3% to 5%, and these have become stronger since the 1990s.⁴⁷ Stocks widely held by institutions have lower returns, and institutional flow has predictive power for stock returns.⁴⁸

Vayanos and Woolley (2013) show that delegated portfolio management can give rise to momentum and long-term reversals. Suppose a negative news shock hammers the fundamental value of stocks. Investment funds holding these stocks experience losses. This triggers outflows by investors who now regard these managers as less talented than they originally thought. They withdraw

⁴³ The first papers to show that delegated portfolio management can affect risk premiums were Roll (1992) and Brennan (1993).

⁴⁴ In addition to the other references in this section, see Dasgupta, Prat, and Verado (2010) and Cuoco and Kaniel (2010).

⁴⁵ See Scharfstein and Stein (1990).

⁴⁶ Shleifer (1986) originally hypothesizes these effects are due to downward-sloping demand curves, but they are also consistent with herding as a subsequent literature has emphasized.

⁴⁷ This literature is summarized in Ang, Goetzmann, and Schaeffer (2011). Boyer (2012) finds inclusion (and exclusion) effects in the BARRA value and growth indices, along with greater movement with these indices after they have been included in the index. Boyer finds the effect exists only after 1992, which is when the BARRA indices were introduced.

⁴⁸ See Gompers and Metrick (2001), Leippold and Rohner (2009), and Lou (2012), among many others.